Given that demonetization took all ₹500 and ₹1,000 notes out of circulation and they are the most counterfeited notes, one would have expected that the counterfeit notes detected, as money poured into banks and currency chests, would be in the region of ₹300–400 crore as estimated by the NIA/ISI study, or, at the very least, significantly higher than previous years.

The data below[15] shows that this was not the case.

The total value of counterfeit notes detected within the banking system during the FY 2016–17 was only ₹43.47 crore, of which the FICNs amongst the demonetized ₹500 and ₹1,000 notes were ₹41.51 crore. Of this ₹41.51 crore, it is interesting to note that the FICNs detected after demonetization, namely between 8 November 2016 and 31 March 2017, were *only ₹19.53 crores*.[16]

The actual number of fake notes detected, post-demonetization is shown in the table below:

Table 8: Fake Indian Currency Notes (FICN) Detected in the Banking System

Number of Notes

FICN Detected	2014–15	2015–16	2016–17	2017–18
Total No. of FICN Detected	5,94,446	6,32,926	7,62,072	5,22,783
No. of Old 500 and 1,000 FICN	4,05,113	4,04,794	5,73,891	2,31,529
No. of New 500 and 2,000 FICN	NA	NA	837	27,281

Source: RBI Annual Reports 2016–17 & 2017–18

From RBI data, it is clear that only 8,05,420 ₹1,000 notes and ₹500 notes (5,73,891 in 2016–17 and 2,31,539 in 2017–18) were detected to be counterfeit out of a total of 2,402.3 crore notes demonetized. This too, after a prolonged and painstaking counting exercise by the RBI over a period of 20 months in which all notes